ECONOMICS

Maximum Marks: 80

Time Allowed: Three Hours

*Candidates are allowed **additional 15 minutes** for **only** reading the paper.*

*They must **NOT** start writing during this time.*

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*Answer **all** questions in **Section A, Section B and Section C.***

***Section A** consists of **objective / very short answer** questions.*

***Section B** consists of **short** answer questions.*

***Section C** consists of **long** answer questions.*

The intended marks for questions or parts of questions are given in brackets [ ].

SECTION A – 16 MARKS

Question 1

(i) Indifference curve slopes negatively when the consumption of one commodity increases, leading to a decrease in the consumption of another commodity. This ensures _____ satisfaction for the consumer. **[1]**

(a) greater

(b) lesser

(c) same

(d) zero

(ii) A competitive firm enjoys super normal profit only when: **[1]**

(a) AR > MC

(b) AR > AVC

(c) MR > AC

(d) AR > AC

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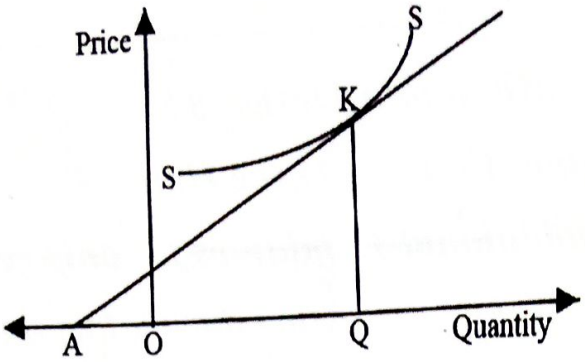
(iii) The price elasticity of supply at point K in the diagram given below will be: **[1]**



(a) greater than one.

(b) less than one.

(c) equal to one.

(d) equal to zero.

(iv) The Indian government has decided to implement the Gas Price Cap to protect the interests of the people. **[1]**
What will be the impact of this initiative?

(a) An excess of supply over demand, resulting in a surplus of gas.

(b) An excess of demand over supply, resulting in a shortage of gas.

(c) An excess of supply over demand, resulting in creation of buffer stock.

(d) No impact on market demand and market supply of gas.

(v) Short run production function can be expressed as: **[1]**

(a) $Q_x = f(L, K)$

(b) $Q_x = f(Q, K)$

(c) $Q_x = f(L)$

(d) $Q_x = f(K)$

(vi) Which one of the following is an example of non-tax receipts of the government? **[1]**

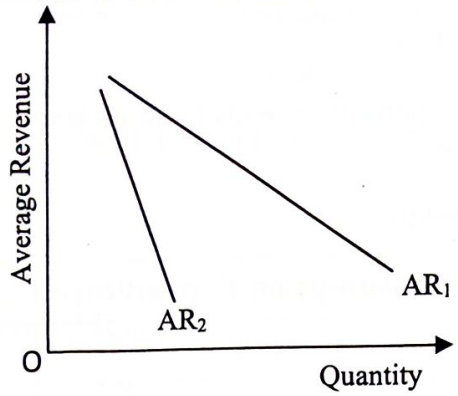
(a) Interest receipts

(b) Union excise duty

(c) Custom duty

(d) Interest Tax

(vii) Study the diagram given below. Choose the option that shows the applicability of the AR curves in different market situations. **[1]**



(a) AR_1 is for Monopoly and AR_2 is for Perfect Competition.

(b) AR_2 is for Monopoly and AR_1 is for Perfect Competition.

(c) AR_2 is for Monopolistic Competition and AR_1 is for Monopoly.

(d) AR_1 is for Monopolistic Competition and AR_2 is for Monopoly.

(viii) Aggregate demand can be expressed as: **[1]**

(a) C + X + (G – I)

(b) C + I + G + (X – M)

(c) D + S – Taxes

(d) C + I + G + (X + M)

(ix) **Assertion**: Law of demand does not apply to Giffen goods. **[1]**

Reason: Substitution effect of Giffen goods is positive.

(a) Both Assertion and Reason are true and Reason is the correct explanation of Assertion.

(b) Both Assertion and Reason are true but Reason is not the correct explanation of Assertion.

(c) Assertion is true and Reason is false.

(d) Assertion is false and Reason is true.

(x) The value of time and effort invested by a company owner in managing and overseeing the work is an implicit cost. Justify. **[1]**

(xi) State whether the following is True or False. Give one reason for your answer. **[1]**

When the price of a seasonal vegetable rises, the household expenditure on it falls. The demand in such cases is relatively inelastic.

(xii) Distinguish between *revaluation* and *devaluation* of the domestic currency. **[1]**

(xiii) A deficit in the current account of the Balance of Payment of a country may not be an alarming situation. Give a reason in support of this statement. **[1]**

(xiv) When can APC be greater than 1? **[1]**

(xv) An increase in investment expenditure leads to an increase in income by multiple times. Name this mechanism. **[1]**

(xvi) Complete the table given below. **[1]**

Income	Consumption Expenditure	MPS
1000	800	--------
1200	900	
1500	1000	

SECTION B – 32 MARKS

Question 2

(i) There has been a significant rise in the prices of luxury cars. Despite the price rise, the manufacturers of luxury cars anticipate that demand for their product will stay unchanged. **[2]**

Does the anticipation regarding the behaviour of demand reflect the law of demand? What could be the reason for this anticipation?

(ii) When the price of a commodity increases by 15%, its demand falls from 150 units to 120 units. Calculate the price elasticity of demand. State if the demand is elastic or inelastic. **[2]**

Question 3

(i) Do Average Total Cost curve and Average Variable Cost curve intersect each other as the output increases? Give a reason for your answer. **[2]**

(ii) The market for Electric Vehicles in India is in a state of equilibrium. The government decides to provide subsidy on Electric Vehicles for expanding its market. With the help of a diagram, show how this will affect the equilibrium price and quantity of the Electric Vehicles. **[2]**

Question 4

(i) In which market form are the commodities perfect substitutes of each other? How does it affect the price of the commodity in this market form? **[2]**

(ii) Explain the concept of *shut down point* in a perfectly competitive market. Indicate the shut down point in the diagram. **[2]**

Question 5

(i) State *any four* differences between Monopolistic competition and Oligopoly. **[4]**

OR

(ii) Briefly explain the features of a monopoly market based on the following:

(a) Nature of product

(b) Selling Cost

(c) Relation between AR and MR

(d) Price Policy

Question 6 **[4]**

Discuss the determination of foreign exchange rate under the flexible exchange rate system by using a suitable diagram.

Question 7

(i) How can public expenditure be used as a tool to attain economic stability? **[2]**

(ii) What is meant by *deficit financing*? **[2]**

Question 8

(i) If leakages exceed injections in the circular flow of income, what will be the effect on GDP? **[1]**

(ii) State the components of Compensation of Employees with relevant examples. **[3]**

OR

(i) What is the difference between Gross National Disposable Income and Gross National Product at market price? **[1]**

(ii) Draw a well labelled diagram of circular flow of income in a three-sector model. Mention *any one* real flow and *any one* money flow. **[3]**

Question 9

(i) What is *saving function*? Derive MPS from MPC. **[2]**

(ii) Briefly explain *any two* fiscal measures to reduce deflationary gap. **[2]**

SECTION C – 32 MARKS

Question 10

(i) A perfectly competitive firm may enjoy supernormal profits or suffer losses in the short run. But it will always enjoy normal profits in the long run. Justify the statement. **[2]**

(ii) With the help of a diagram, explain TR-TC approach of Producer's equilibrium. **[6]**

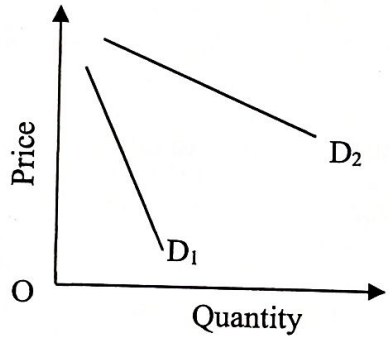
Question 11

(i) Draw two supply curves to show the following: **[2]**

(a) Perfectly elastic supply

(b) Elastic supply

(ii) Study the diagram given below and identify the suitable demand curve for each of the following items. **[2]**



(a) Salt of a particular brand

(b) Prescribed medicine for a heart patient

(iii) Explain income effect as a reason for inverse relationship between price and quantity demanded. **[2]**

(iv) Distinguish between *decrease in supply* and *contraction of supply* with the help of diagrams for each. **[2]**

OR

(i) What is a *budget line*? Draw a budget line for a consumer whose income is ₹ 60 and the prices of goods X and Y are ₹ 5 and ₹ 10 respectively. **[2]**

(ii) Study the Marginal Utility schedule of a consumer given below. **[6]**

Units of consumption	1	2	3	4	5	6
Marginal Utility	15	14	12	9	5	1

Which law of consumption is indicated in the schedule given above? State and explain the law with the help of a diagram.

Question 12

(i) Why does Operating Surplus not arise in the following cases? **[2]**

(a) Farming for self-consumption

(b) Welfare activities for people by the government

(ii) Calculate GDP_{fc} and National income by Expenditure method. **[6]**

	PARTICULARS	₹ (crores)
(a)	Private final consumption expenditure	200
(b)	Net Domestic Capital Formation	40
(c)	Compensation of employees	190
(d)	Operating surplus	72
(e)	Net indirect taxes	40
(f)	Net factor income from abroad	(-) 20
(g)	Consumption of fixed capital	10
(h)	Government final consumption expenditure	60
(i)	Net exports	2

OR

(i) State whether the following will be included or not in the estimation of National Income. Give a reason for your answer. **[2]**

(a) College fee paid by students

(b) Purchase of shares of Royal Bank of Patiala

(ii) Calculate National Income by income method and output method. **[6]**

	PARTICULARS	₹ (crores)
(a)	Value of output of primary sector	1,100
(b)	Value of output of other sectors	200
(c)	Raw materials purchased by the primary sector	600
(d)	Raw materials purchased by other sectors	400
(e)	Factor income from abroad	20
(f)	Factor income paid abroad	25
(g)	Depreciation	65
(h)	Indirect taxes	200
(i)	Subsidies	40
(j)	Mixed income of self-employed	300
(k)	Compensation of employees	180
(l)	Rent	50
(m)	Interest	40
(n)	Profit	35

Question 13

Read the discussion given below and answer the questions that follow.

Ashish, Firoza, Mandeep and Rosie are four friends who have met after a long time and are discussing their financial situations.

Ashish: We have started using old kerosene stove at home as the rising cost of LPG has made it unaffordable.

Firoza: I now pay a rent of ₹6500 for the same one-bedroom flat that cost me ₹3000 four years back. The landlord says that his expenses have increased.

Mandeep: I think multiple times before using ginger while cooking. Its price has risen beyond my reach.

Rosie: I bought a new motor bike but have not started using it. I am waiting for the fuel prices to fall.

(i) Which economic phenomenon is being hinted in the discussion above? **[1]**

(ii) Name the policy that can be adopted by central bank to improve the situation referred to in the discussion above. **[1]**

(iii) Describe *any two* measures of the policy referred to in subpart (ii). **[4]**

(iv) If the central bank decides to keep the repo rate unchanged, will it aggravate or resolve the problem referred to in the conversation? Briefly discuss. **[2]**